

strengthened its ESG (environmental, social and governance) framework and set up a board-level CSR (corporate social responsibility) and ESG committee. In addition, there is a management-level sustainability council, chaired by the MD and CEO, Vinay Muralidhar Tonse.

“The bank has instituted a robust governance framework to ensure that ESG considerations are integrated into the organisation’s culture. This shift is being shaped in large part by the bank’s board-level CSR and ESG committee, which serves as the institution’s highest governance body on sustainability matters,” says Banodkar.

The committee oversees YES Bank’s larger ESG agenda aimed at long-term value creation, ensures adequate risk governance for addressing emerging climate-related risks, strengthens standards for transparency in ESG disclosures, and guides the executive-level sustainability council in implementing the bank’s ESG and climate strategy.

YES Bank has also instituted domain-specific ESG KPIs for the top management to ensure that sustainability is embedded into the decision-making process. Furthermore, it has set a target to achieve 30% gender diversity by 2029-30.

Sustainable finance has also been among a key focus area for the lender. YES Bank had issued the country’s first green infrastructure bond was back in 2015. The bonds, which were for a 10-year duration, saw strong demand from large investors, including insurance and pension funds, mutual funds and foreign portfolio investors, leading to a total subscription of ₹1,000 crore. The idea was to use the funds to finance green infrastructure



NIRANJAN BANODKAR Group CFO, YES Bank

MOST SUSTAINABLE COMPANY IN FINANCIAL SECTOR (BANKING)

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YES Bank was the first in the country to issue green infrastructure bond; it raised ₹1,000 crore back in 2015

It also launched a green deposit scheme in 2018

In S&P Global’s recent corporate sustainability assessment for 2025, Yes Bank scored 79 of 100 points



projects in renewable energy.

The ecosystem has evolved since with Sebi regulations on green debt securities in 2017. Till date, Indian entities have raised around ₹23,350 crore domestically

YES Bank also launched a green deposit scheme in 2018. “These initiatives helped the bank build institutional capabilities around sustainable financing frameworks, green use-of-proceeds reporting, verification and disclosures, which continue to inform its approach today,” says Banodkar.

YES Bank, he says, continues to channelise green financing towards climate-aligned sectors like renewable energy, clean transportation, and green buildings, and supports climate adaptation and mitigation activities as one of the Accredited Entities to the Green Climate Fund in India.

In S&P Global’s recent corporate sustainability assessment (CSA) for 2025, Yes Bank scored 79 of 100 points to emerge as India’s highest rated bank in the assessment, according to the lender. S&P Global’s CSA is an in-depth evaluation of corporate sustainability performance.

In August 2025, the Crisil report upgrading the credit rating on YES Bank said the bank’s ESG profile supports its already strong credit risk profile.

As a part of its CSR initiatives, YES Bank has planted 600,000 trees, with a goal to reach one million by 2028. The lender has also promoted energy conservation in 500 micro, small and medium enterprises. It has also taken various focused initiatives to enhance the earnings capability in rural areas. **BT**

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